3. **Wages** – Wages are the reward for labour.
4. **Interest** – Interest is the price paid for the use of capital.
5. **Profit** – Profit is the reward for organisation or entrepreneurship.
6. **Quasi-Rent** – Quasi-Rent is the surplus earned by man-made appliances and instruments of production in the short-period.
7. **Transfer earnings** – Transfer earnings refer to minimum payment payable to a factor to retain it in its present use.
8. **Money wage** – Money wage is the remuneration received by a labourer in terms of money.
9. **Real wage** – Real wage is the purchasing power of the money wages in terms of goods and services.
10. **Loanable fund** – Loanable fund is that part of capital meant for loan.
11. **Innovation** – Invention put into commercial practice.

MODEL QUESTIONS

SN2A6

PART – A

1. In Economics, distribution of income is among the
   a. factors of production
   b. individual
   c. firms
   d. traders
2. Theory of distribution is popularly known as,
   a. Theory of product-pricing
   b. Theory of factor-pricing
   c. Theory of wages
   d. Theory of Interest
3. Rent is the reward for the use of
   a. capital
   b. labour
   c. land
   d. organization
4. The concept of 'Quasi-Rent' is associated with
   a. Ricardo
   b. Keynes
   c. Walker
   d. Marshall

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